Sample questions the given in class test

1. Analyze the key challenges of SME.
2. Discuss the significance of SME in developing countries like us.
3. Suppose you are a fresh graduate, you are planning to start a new IT firm but you are unsure about the process of moving from idea generation to running a sustainable business. Apply the startup process in your case.

Important topics discussed in class

Chapter 1

1. Definition
2. Characteristic
3. Role of SME
4. Challenges and solutions of SME

Chapter 2

1. Definition of Entrepreneurship and Managerial management
2. Model of the startup process
3. environment/factor affect most while entrepreneurship start business or startup process
4. Prepare yourself for business ownership
5. Entrepreneur Behaviour
6. Pros and cons of self employment
7. Trades of successful entrepreneurship
8. Differences between entrepreneur and SME
9. How many types of business
10. Partnership, sole business and company (need to read Definition, advantages and disadvantages)
11. Differences between private and public company
12. Differences between general partnership and limited partnership
13. “Company is legal entity” Justify your opinion
14. Partnership is a legal entity

Chapter 3

1. Advantages and Disadvantages of startup business
2. First growth of startups
3. Product life cycle chart
4. Importance of planning to start-up

1️⃣ Define SME and explain its characteristics

Businesses that operate with limited employees, capital, and turnover compared to large organizations known as SME.

Characteristics of SMEs

1. **Limited Resources:** SMEs operate with limited financial, human, and technological resources.
2. **Small Workforce:** Usually managed by family members or a small team.
3. **Easy Decision Making:** Owners can take quick decisions without complex procedures.
4. **High Flexibility:** SMEs can easily adapt to market and customer changes.
5. **Limited Market Research:** Due to lack of funds, formal research is often absent.
6. **Local Area Operation:** Most SMEs serve local or regional markets.
7. **Promote Innovation:** SMEs introduce new ideas, products, or services on a small scale.

Conclusion

Therefore, SMEs are flexible and innovative business units that contribute significantly to economic activity despite limited resources.

2️⃣ Discuss the role of SMEs in economic development

SMEs are considered the backbone of many developing economies because they contribute to employment, income generation, and sustainable growth.

Major contributions

1. **Employment creation** — SMEs generate large numbers of jobs, especially for young and semi-skilled workers.
2. **Poverty reduction** — By providing income opportunities, they help improve living standards and reduce economic inequality.
3. **Contribution to GDP** — Combined production from SMEs adds significantly to national income.
4. **Regional development** — SMEs encourage economic activities in rural and semi-urban areas, balancing development.
5. **Innovation and competition** — They introduce new products and increase market competitiveness.
6. **Women entrepreneurship** — SMEs create opportunities for female participation in business.

7. **Export Growth:** Many SMEs support export-oriented industries.

Conclusion

Overall, SMEs play a central role in promoting inclusive and balanced economic development.

3️⃣ Analyze major challenges of SMEs and suggest solutions

Although SMEs are vital for economic progress, they face several operational and structural challenges that hinder growth.

Key challenges and remedies

1. **Limited market access** — Limited marketing reduces competitiveness and customer reach.
2. **Infrastructure problems** — Poor logistics and utilities increase operational difficulties.
3. **Lack of Capital:** — SMEs face difficulty accessing finance and loans.
4. **High Interest Rate:** — Borrowing costs are often too high.
5. **Lack of Skilled Manpower:** — SMEs struggle to hire trained employees.
6. **Limited Technology:** — Use of outdated technology reduces productivity.
7. **Bureaucratic Obstacles:** — Complex regulations and paperwork slow growth.

Addressing these challenges through policy support, training, and technological advancement can strengthen SME performance.

Entrepreneur: An entrepreneur is a person who creates innovative ideas, starts and manages businesses, takes calculated risks, and works to achieve growth and success.

Entrepreneurship: Entrepreneurship is creating wealth by coming up with new or better ideas, products, or services. It involves people working to make profits by producing or selling goods and services.

Small Business Management: The process of managing day-to-day operations of an existing small business to ensure survival and stability.

4️⃣ Explain the model of the startup process

Introduction

The startup process model describes the stages through which an idea develops into a successful and sustainable business.

Main stages

Innovation — Generation of a unique business idea based on market gaps or creativity.

Triggering event — Recognition of an opportunity or external factor that motivates business initiation.

Implementation — Preparation of business plans, securing resources, and launching operations.

Growth — Expansion of market share through improved products and customer acquisition.

Maturity — Business operations become stable with predictable income.

Harvest — Entrepreneurs may sell, merge, or transfer ownership to gain returns.

Following a structured startup process helps entrepreneurs reduce risks and improve long-term success.

5️⃣ Environmental factors affecting startup business

Startup success is strongly influenced by external environmental factors that shape opportunities and risks.

Influencing factors

1. **Economic conditions** — Inflation, purchasing power, and market trends directly affect demand.
2. **Government policies** — Taxation, licensing, and legal regulations influence business operations.
3. **Competitions** — Competition encourages innovation but also increases challenges for new businesses.
4. **Technological development** — Rapid technological change creates both opportunities and threats.
5. **Customer behaviour** — Understanding consumer preferences ensures product acceptance.
6. **Suppliers and infrastructure** — Reliable supply chains support efficient production.

Entrepreneurs must carefully analyze environmental factors to make informed business decisions.

6️⃣ Define entrepreneurship and explain traits of successful entrepreneurs

Entrepreneurship is creating wealth by coming up with new or better ideas, products, or services. It involves people working to make profits by producing or selling goods and services.

Essential traits

1. **Risk-taking ability** — Entrepreneurs accept uncertainty in pursuit of profit and growth.
2. **Creativity and innovation** — Ability to develop new ideas and solutions for market needs.
3. **Self-confidence** — Strong belief in personal decisions helps leadership.
4. **Adoptibility** — Successful entrepreneurs continue efforts despite setbacks.
5. **Leadership qualities** — Ability to guide teams toward achieving goals.
6. **Passion and motivation** — Strong dedication drives long-term commitment.
7. **Managerial Roles** – Managerial and leadership skills to guide their ventures.

Successful entrepreneurship requires a combination of vision, leadership, and perseverance.

7️⃣ Advantages and disadvantages of self-employment

Self-employment refers to working independently by operating one's own business rather than working for an employer.

Positive aspects

Independence — Full control over decision-making and business direction.

Flexible working hours — Owners can manage schedules according to personal needs.

Financial rewards — Profits belong directly to the entrepreneur.

Challenges

Financial uncertainty — Income may fluctuate, especially in early stages.

Long working hours — Owners often manage multiple roles simultaneously.

High responsibility and stress — Success or failure depends mainly on the owner's actions.

Self-employment offers freedom and potential rewards but requires dedication and risk tolerance.

8️⃣ How to prepare for business ownership

Introduction

Proper preparation before launching a business increases the likelihood of long-term success.

Preparatory elements

Education and knowledge — Understanding business management improves decision-making.

Practical experience — Exposure to real business environments reduces mistakes.

Financial readiness — Savings or planned funding supports early operations.

Market research — Analyzing customer needs ensures product relevance.

Communication and leadership skills — Essential for managing employees and negotiations.

Mental readiness for risk — Entrepreneurs must accept uncertainty and responsibility.

Conclusion

Thorough preparation strengthens confidence and improves business survival chances.

📃 9️⃣ Difference between entrepreneur and SME

Introduction

Although related, entrepreneur and SME represent different concepts within business studies.

Comparative aspects

Nature — Entrepreneur refers to the individual; SME refers to the organization.

Function — Entrepreneurs create and initiate businesses; SMEs operate as business entities.

Risk ownership — Entrepreneurs personally assume initial risks.

Innovation role — Entrepreneurs generate ideas, while SMEs implement and manage operations.

Scope — One entrepreneur may establish several SMEs over time.

Objective — Both aim for profit and growth but differ in perspective.

Conclusion

Entrepreneurs are the creators, while SMEs are the operational structures they establish.

📃 🔟 Forms of business ownership

Introduction

Business ownership forms determine legal responsibilities, management style, and financial structure.

Main forms

Sole proprietorship — Owned by one individual with full control but unlimited liability.

Partnership — Two or more owners share profits, responsibilities, and risks.

Company or corporation — Separate legal entity with limited liability for owners.

Capital raising ability — Corporations can raise larger funds compared to small ownership forms.

Decision-making structure — Simpler in sole ownership, more shared in partnerships and companies.

Legal requirements — Companies involve more formal registration and regulation.

Conclusion

Choosing the appropriate ownership form depends on business size, risk, and growth goals.

📃 1️⃣ 1️⃣ Difference between private and public company

Introduction

Companies are categorized based on how ownership and shares are distributed.

Key differences

Ownership structure — Private companies have limited shareholders; public companies allow public ownership.

Share trading — Public company shares are traded openly in stock markets.

Regulatory requirements — Public companies face stricter legal reporting standards.

Capital raising — Public companies can raise larger funds through share issuance.

Disclosure level — Public companies must publish financial reports regularly.

Control — Private companies retain greater managerial control.

Conclusion

Private companies prioritize control, while public companies focus on wider capital access.

1️⃣2️⃣ General vs limited partnership

Introduction

Partnership businesses can be structured differently depending on partner responsibilities and liabilities.

Comparative elements

Liability level — General partners have unlimited liability; limited partners have liability limited to investment.

Management involvement — General partners actively manage operations.

Capital contribution — Limited partners mainly provide financial investment.

Risk exposure — General partners bear higher financial risk.

Decision-making authority — Mainly controlled by general partners.

Profit sharing — Distributed according to agreement among partners.

The primary distinction lies in liability and management participation.

1️⃣3️⃣ “Company is a legal entity” — justify

A company is legally recognized as a separate entity independent from its owners or shareholders.

Supporting explanations

Separate existence — The company exists independently of individuals.

Property ownership — It can own assets under its own name.

Legal rights — The company can sue or be sued in court.

Limited liability — Owners are generally not personally liable for company debts.

Perpetual succession — Business continues even if ownership changes.

Contractual ability — It can enter contracts independently.

Hence, a company is treated as a distinct legal person under the law.

1️⃣4️⃣ Explain product life cycle

The product life cycle describes the progression of a product in the market from launch to decline.

Stages of the cycle

Introduction stage — Sales are low and promotional costs are high.

Growth stage — Sales and profits increase rapidly as acceptance grows.

Maturity stage — Sales stabilize due to strong competition.

Decline stage — Sales decrease because of changing preferences or new innovations.

Marketing strategy change — Companies adjust strategies at each stage to maintain profitability.

Planning importance — Helps firms decide when to improve or discontinue products.

Understanding the product life cycle helps businesses manage products strategically.

1️⃣5️⃣ Importance of planning in startup business

Planning is a fundamental activity that guides startups toward organized and sustainable growth.

Key importance

Clear goal setting — Planning defines objectives and direction.

Efficient resource use — Helps allocate finance, time, and manpower effectively.

Risk minimization — Anticipates possible problems before they occur.

Investor confidence — Well-designed plans attract financial support.

Decision-making support — Provides guidance during uncertain situations.

Performance evaluation — Enables monitoring of progress and adjustments.

Conclusion

Effective planning increases the chances of startup success and long-term stability.